higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE

SALES MANAGEMENT N5

(4090325)

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DEPARTMENT OF HIGHER EDUCATION AND TRAINING
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE
SALES MANAGEMENT N5
TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. SECTION A is COMPULSORY and must be answered by all candidates.
2. Answer only THREE questions from SECTION B.
3. Read ALL the questions carefully.
4. Number the answers according to the numbering system used in this question paper.
5. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.15) in the ANSWER BOOK

1.1.1 It is a psychological objection that clients can have:

A Wrong time
B Inconvenience
C Ignorance
D Attitude

1.1.2 A personality trait of a successful salesperson:

A Facial expression
B Good health
C Perseverance and drive
D Intelligence

1.1.3 Which of the following factors will influence the selection of forecasting methods:

A Price
B Time
C Market potential
D Risk factor

1.1.4 Approach techniques include the following:

A Physical action technique
B The compliment approach
C Endless chain technique
D Assumptive close

1.1.5 An aspect that a job description will cover:

A Job title
B Training
C Experience
D Interview

1.1.6 Types of quotas consist of which ONE of the following:

A Budget quotas
B Expense quotas
C Gross margin quotas
D Point sales volume quotas

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1.1.7 Which ONE of the following follow-up activities is necessary:

A Determining future needs
B Making friends with a customer
C Providing more information
D Reducing travel time

1.1.8 The role of personal selling in the company is …

A economic growth.
B a source of income.
C high standard of living.
D economic welfare.

1.1.9 The role of a buyer in the buying team is to …

A control flow of information.
B initiate the orders.
C make the actual buying decision.
D select suppliers.

1.1.10 A properly designed routing system has the following advantage:

A It increases travel time and selling cost.
B It promotes profit and goal attainment.
C It creates a demand for consumer goods.
D It improves information.

1.1.11 This forecasting method is based on each salesperson's forecast of his own territory:

A Sales force composite
B Delphi technique
C Jury of executive opinion
D Indicators

1.1.12 The salesperson must have the following knowledge of the industry of which his/her company forms part:

A Product knowledge
B Future tendencies of the industry
C Size of the market
D Product ranges

1.1.13 The total expected sales of a given product or service for the entire industry in a specific market over a stated period of time is called …

A market potential.
B sales potential.
C buyers potential.
D geographical potential.

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1.1.14 Personal selling forms part of …

A price.
B promotion.
C place.
D product.

1.1.15 Which ONE of the following is NOT a relevant factor that can influence the probable sales volume:

A Conditions within the company
B Changed market conditions
C Conditions within the industry
D Conditions between the competitors

(15 × 2) (30)

1.2 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write 'True' or 'False' next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

1.2.1 Promotion consists of advertising, publicity, sales promotion and personal selling.

1.2.2 After-sales service ensures satisfied customers, which leads to further sales and new customers.

1.2.3 The salesperson cannot be enthusiastic unless he knows all the strengths of his product and company.

1.2.4 Sales are decreased when salespeople are assigned to specific sales territories.

1.2.5 Expense quotas are used in appraising performance and are standards to keep expenses in line with sales volume.

1.2.6 Direct prospecting is also known as cold canvassing.

1.2.7 Personal information about the individual is collected whether he is buying the product for his own use or for a company.

1.2.8 Inconvenience is an example of psychological objection.

1.2.9 Final decision makers negotiate the terms of sale.

1.2.10 The starting point in territorial planning is the selection of a geographical control unit.

(10 × 2) (20)
[50]

TOTAL SECTION A: 50

SECTION B

Answer any THREE questions in this section.

QUESTION 2

2.1 Name FIVE aspects that a salesperson must pay attention to in order to create a positive physical image with clients. (5 × 2) (10)

2.2 The general objective of quotas is to control the sale effort.

What are the FOUR objectives in using quotas? (4 × 2) (8)

2.3 Discuss the following closing techniques:

2.3.1 The assumptive close

2.3.2 The direct approach technique

2.3.3 The physical action technique

2.3.4 The standing room only technique

(4 × 4) (16)

2.4 The pre-approach information gathered gives the salesperson confidence and a better opportunity to close the deal successfully.

List the information required if the prospect is purchasing on behalf of an organisation. (5 × 2) (10)

2.5 List examples of typical time allocation problems a salesperson may experience. (3 × 2) (6)

[50]

QUESTION 3

3.1 Forecasts are used by the production, finance and all other departments to plan and determine their requirements for a specific future period.

Name and explain FIVE methods of sales forecasting.

NOTE: (Do NOT use advantages and disadvantages.) (5 × 4) (20)

3.2 List the criteria you will use to qualify someone as a potential client. (5 × 2) (10)

3.3 Demonstration is the best way to illustrate the advantages of your product and create confidence in the prospect. It must be well planned and executed, however.

Name FIVE principles of effective product demonstration. (5 × 2) (10)

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3.4 There are various reasons why customers do not buy from a specific supplier any longer.

Mention FIVE of these reasons. (5 × 2) (10)
[50]

QUESTION 4

4.1 What are the factors influencing sales territory design? Name FIVE. (5 × 2) (10)

4.2 If sales personnel do not understand the procedure used in setting quotas, they may suspect that quotas are used only to obtain extra effort from them at no extra cost to the company.

Explain why it is important that salespeople participate in the setting of quotas for their sales territories. (3 × 2) (6)

4.3 Very often salespeople are faced by customer objections in their sales presentation, such as 'your price is too high', and 'you have a limited colour range'.

Name and discuss FIVE psychological objections you know. (5 × 4) (20)

4.4 What are the THREE reasons of making use of a buying team? (3 × 2) (6)

4.5 The first step when allocating time is to decide on the main tasks or activities the salesperson must do, and then determine what amount of time should be allocated to each activity. Although tasks will vary, in general they may be classified into five areas.

Mention FOUR of these areas. (4 × 2) (8)
[50]

QUESTION 5

5.1 Establishing or revising sales territories and providing for their effective and efficient coverage is a key part of sales management's strategic planning task. This enables them to bring other aspects of planning such as sales forecasting and budgeting down to specific territories.

Give TEN benefits derived from establishing specific territories. (10 × 2) (20)

5.2 List the FOUR groups of quotas set by salespeople. (4 × 2) (8)

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5.3 Most prospects, whether intentionally or unintentionally, give certain clues that they are ready for a close.

Name THREE closing signals. (3 × 2) (6)

5.4 One of the techniques that salespeople use in their approach is the question technique.

Name the FOUR requirements which the question technique must satisfy. (4 × 2) (8)

5.5 Name FOUR roles of the buying team. (4 × 2) (8)

[50]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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